

Lulu's Fashion Lounge Holdings

NASDAQ: LVLU | Women's Occasion Wear & DTC Fashion

PRICE	12-MO TARGET	BULL TARGET	MARKET CAP	EV	SHARES OUT
\$16.27	\$25-26	\$46	\$49M	\$55M	3.01M
Aug 17 close	Base Case	0.5x P/S		incl. ~\$6M net debt	Float ~600-700K

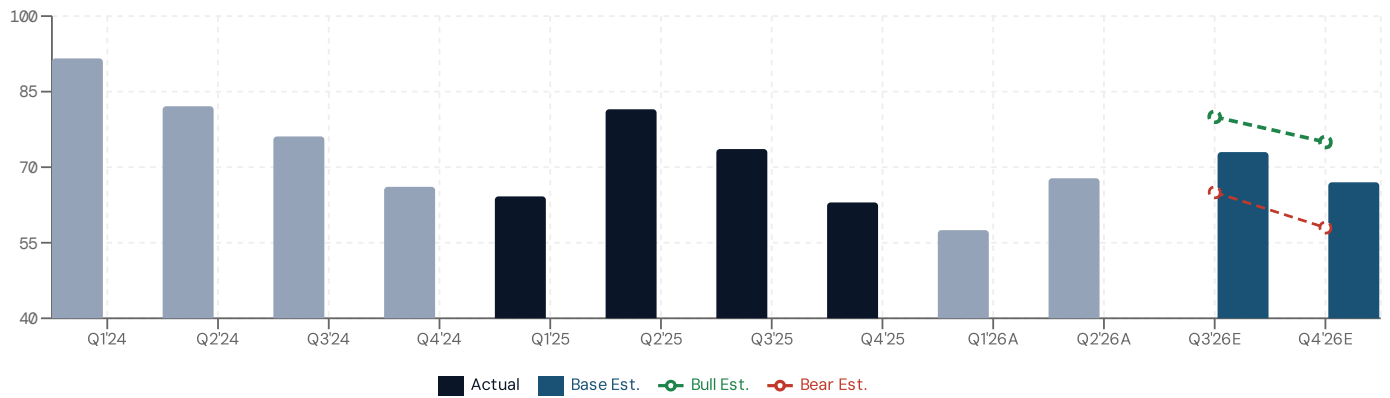
THESIS

LVLU is executing a legitimate operational turnaround (48.6% Q2 gross margin, the highest second quarter since 2021, positive first-half Adjusted EBITDA and free cash flow, 130% LTM wholesale growth) while trading at 0.18x revenue versus peer REVOLVE Group at approximately 1.3x. The valuation disconnect is driven by governance deficiencies, minimal institutional engagement, and zero analyst coverage rather than fundamental business problems. A constructive activist campaign (Friedland Enterprises, ~5% ownership) has already produced the hiring of a permanent CFO and board approval to reduce authorized shares from 250M to 15M. Updated for Q2 2026: our base case now models \$265M revenue and \$1.5-2.5M positive Adjusted EBITDA for FY2026, reflecting the deliberate markdown pullback that traded top line for the highest Q2 gross margin since 2021 (48.6%). Multiples are unchanged since March: at 0.3x P/S (still a ~77% discount to REVOLVE), the stock reaches \$25-26. Wholesale grew 130% LTM across 9 major partners with two more added since Q3 began. All targets revise on reported results and share count only; see the revision log.

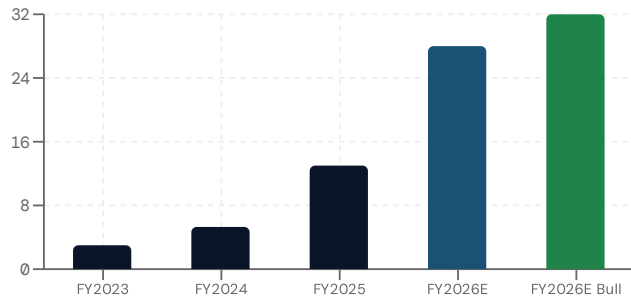
FINANCIAL SUMMARY

METRIC	FY2024	FY2025	FY26E Bear	FY26E Base	FY26E Bull
Revenue (\$M)	\$315.9	\$282.3	\$248	\$265	\$280
YoY Growth	-11%	-11%	-12%	-6%	-1%
Gross Margin	41.2%	43.2%	45.0%	45.5%	46.0%
Adj. EBITDA (\$M)	(\$9.7)	(\$1.2)	(\$0.5)	\$2.0	\$4.0
EBITDA Margin	-3.1%	-0.4%	-0.2%	0.8%	1.4%
Wholesale Rev (\$M)	~\$5	~\$13	~\$24	~\$28	~\$32
Active Customers (M)	2.62	2.33	2.05	2.15	2.25
AOV	\$137	\$140	\$145	\$147	\$149
Net Debt (\$M)	\$8.6	\$11.7	\$8	\$6	\$4
EV/Revenue	—	0.19x	0.22x	0.21x	0.20x
P/S (at current)	—	0.17x	0.20x	0.18x	0.17x

QUARTERLY REVENUE: ACTUALS AND FY2026 ESTIMATES (\$M)

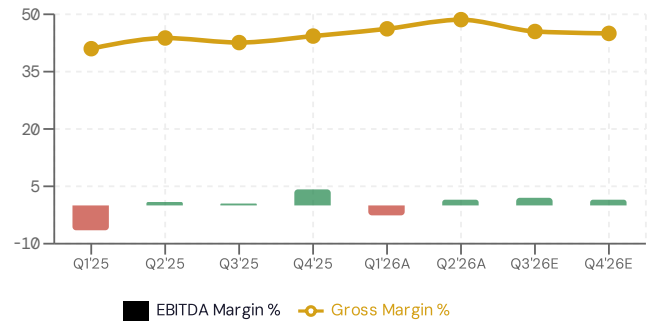


WHOLESALE REVENUE TRAJECTORY (\$M)



Partners: 2 (FY23) → 4 (FY24) → 9 (FY25) → 11+ (FY26E). Same-account revenue growth: +61% LTM per the Q2'26 call.

GROSS MARGIN & EBITDA MARGIN (%)



Seven consecutive quarters of product margin expansion. Q2'26 gross margin of 48.6% is the highest second quarter since 2021.

LEADING INDICATORS: THE RESET IS CONVERTING (SOURCE: Q2 2026 EARNINGS CALL)

UNITS PER NEW LAUNCH

Q2'26: **+28%** Detail: **+29%**

Fewer launches, each selling more units. SKU productivity approaching 2021 levels.

CASUAL/FW NEW LAUNCHES

Q2'26: **-48%** Detail: **H2 normal**

vs. prior year. Deliberate pullback continues; launch volume normalizes in H2.

MARKDOWN SALES

Q2'26: **-38%** Detail: **-65% casual**

Regular-price mix shift is the revenue trade behind the 48.6% gross margin.

REORDER-ELIGIBLE CONVERSION

Ahead of internal targets

New 2026 styles, per Q2'26 call

New-customer acquisition contribution from casual and footwear improving into Q3.

INVENTORY RESET

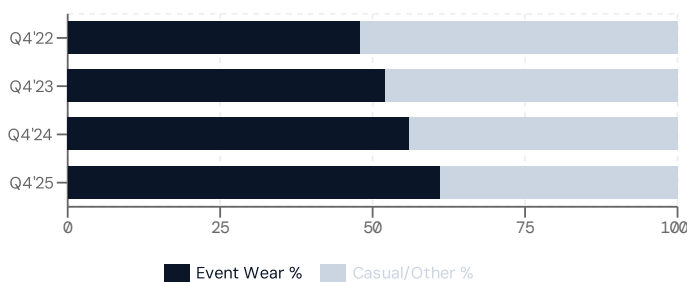
Casual: -43% | FW: -58%

vs. prior year

Total inventory down 23% to \$28.6M. Active customers expected to stabilize by year end.

These metrics were disclosed on the Q2 2026 earnings call (August 12, 2026), the second consecutive quarter of this level of operational granularity. Units per launch remains the key leading indicator: it validates that the casual/footwear reset is producing higher-quality introductions before the revenue impact arrives, which management now points to in 2027.

REVENUE MIX SHIFT: EVENT WEAR DOMINANCE (% OF REVENUE)



Wholesale Partner Expansion

Partner	FY25E	FY26E Base
Nordstrom (93 stores)	\$4.5M	\$10M
Dillard's (100 doors)	\$2.5M	\$4M
Urban Outfitters	\$1.3M	\$2M
Amazon (new Mar'26)	—	\$4M
Victoria's Secret (new Q1'26)	—	\$2M

Partner	FY25E	FY26E Base
Other majors + boutiques	\$4.7M	\$7M
Total Wholesale	~\$13M	~\$29M

VALUATION MATRIX: PRICE PER SHARE AT VARIOUS P/S MULTIPLES

P/S Multiple	Bear (\$248M)	Base (\$265M)	Bull (\$280M)	RVLV Current
0.18x (current)	\$15	\$16	\$17	—
0.30x	\$25	\$26	\$28	—
0.50x	\$41	\$44	\$46	—
0.75x	\$62	\$66	\$70	—
1.00x	\$82	\$88	\$93	—
1.30x (RVLV parity)	\$107	\$114	\$121	~\$24

Highlighted rows: green = base case 12-month target (\$25–26 at 0.3x P/S); blue = bull case target (\$46 at 0.5x P/S). No bear price target is published; the bear scenario assumes no re-rating and therefore contains nothing for a target to measure. REVOLVE Group (RVLV) currently trades at ~1.3x P/S on ~\$1.3B trailing revenue. Shares outstanding: 3.01M.

ACTIVIST PLATFORM SCORECARD (219 DAYS SINCE 13D FILING)

Governance Progress

Reduce auth. shares (250M to 15M)	EXECUTED
Permanent CFO hired	WIN
Strategic alternatives committee	WIN
Enhanced KPI disclosure	PROGRESSING
Data-driven merchandising	PROGRESSING
Segment-level wholesale reporting	OPEN
Performance-based board comp	OPEN
Board reconstitution	WITHDRAWN

Upcoming Catalysts

Q3 2026 results	Nov 2026
Wholesale same-account trend, markdown offset math	
New wholesale accounts	H2 2026
Two major partners added since Q3 began, details promised	
Active customer stabilization	Year end
Management marker from the Q2 call	
Casual reset conversion	H2 2026
New assortment launch volume normalizes	
Strategic review	TBD
No comment until the committee discloses	
Revenue inflection	2027
Management explicitly points to 2027 improvement	

KEY RISKS

Tariff exposure: Import-heavy fashion brand with unquantified exposure to tariff-affected countries. Margin expansion story at risk if rates increase materially.

Customer attrition: Active customers down 13% YoY and 5% sequentially at Q2'26. Management targets stabilization by year end; failure there is the primary threat to the 2027 recovery.

Liquidity: Net debt improved to ~\$6M with positive first-half free cash flow, but the ABL remains borrowing-base constrained as wholesale scales working capital needs.

Wholesale margin dilution: No channel-level margin disclosure. If wholesale runs 30–35% gross margin vs. 44%+ DTC, mix shift compresses blended margins.

Casual/footwear reset execution: Entire H2 revenue improvement thesis depends on new assortment resonating. Units-per-launch metrics are encouraging but unproven at scale.

Micro-cap liquidity: Float of ~600–700K shares. Position exits require elevated volume. Daily trading can be volatile and illiquid.

REVISION LOG

Date	Publication	FY26 Rev Base	Base Multiple	Base Target	Bull Target
Jan 2026	Schedule 13D	No model	n/a	n/a	n/a
Mar/Apr 2026	Analyst report, Amendment No. 1	\$293M	0.30x	\$30	\$54

Date	Publication	FY26 Rev Base	Base Multiple	Base Target	Bull Target
Aug 2026	Q2 2026 update	\$265M	0.30x	\$25-26	\$46

Targets revise on reported results and share count, by the same formula, on the same multiples, and at no other time.

Friedland Enterprises | Independent Shareholder Analysis | 350 Lincoln Road, Miami Beach, FL 33139 | Originally published March 31, 2026; updated August 16, 2026 for Q2 2026 results
Christian B. Friedland is the beneficial owner of approximately 5% of LVLU common stock as disclosed in a Schedule 13D filed January 9, 2026 and Amendment No. 1 filed April 6, 2026. The author is not a registered investment advisor or broker-dealer. This analysis represents the independent views of a shareholder and should not be relied upon as professional investment advice. This report is based entirely on public information including SEC filings, earnings press releases, and public earnings call transcripts. Wholesale revenue estimates are the author's calculations based on publicly disclosed data. Past performance does not guarantee future results. All forward-looking estimates involve significant uncertainty.